

The Contemporary World - Module 3 Reviewer

Market Integration

Overview

Markets across the world are increasingly tied together. This module examines how that happened, who designed the rules, and who bears the costs.

Learning Outcomes

- Define market integration and economic globalization.
- Explain Friedman's "flatteners" and critique the flat-world claim.
- Describe neoliberalism and the roles of the IMF, World Bank, and WTO.
- Assess the impact of economic globalization on marginalized sectors.

Economic Globalization Defined

Economic globalization is the increasing integration of national economies through trade, investment, finance, and the movement of labor and technology. It is the most visible dimension of globalization.

- Trade in goods and services
- Foreign direct investment
- Global financial markets

The World is Flat

Thomas Friedman argues that a series of "flatteners" leveled the global playing field so that individuals and firms anywhere can compete and collaborate. Critics respond that the world is still "spiky": wealth and opportunity remain concentrated in a few places.

- Fall of the Berlin Wall (1989) opened markets
- IT revolution: the internet, workflow software, outsourcing
- Critique: unequal access remains

Neoliberalism and Economic Globalization

Neoliberalism is the policy approach that favors free markets, privatization, deregulation, and reduced state spending. Since the 1980s it has guided many trade and loan agreements, often called the Washington Consensus.

- Privatization, liberalization, deregulation
- Structural adjustment programs
- Supporters cite growth; critics cite inequality

Global Economic Institutions

Three institutions anchor the system. The IMF stabilizes currencies and lends to countries in balance-of-payments trouble. The World Bank funds development projects. The WTO, successor to the GATT, sets and enforces trade rules.

- IMF: monetary stability
- World Bank: development finance
- WTO: trade rules and disputes

Is Economic Globalization a Failure?

The record is mixed. Global poverty has fallen in many regions, particularly in East Asia, yet inequality within and between countries has widened in many cases and financial crises spread quickly across borders.

- Gains: growth, cheaper goods, jobs
- Losses: inequality, job insecurity, crises
- No simple verdict: it depends on policy

Impact on the Marginalized Sectors

Small farmers, informal workers, and indigenous communities often face competition from cheap imports or lose land to large projects. Labor conditions in export industries can be poor, and women workers are often overrepresented in low-wage global assembly work.

- Farmers and rural communities
- Informal and contractual labor
- Calls for fair trade and social protection

Review Questions

1. Explain: Economic Globalization Defined.
2. Explain: The World is Flat.
3. Explain: Neoliberalism and Economic Globalization.
4. Explain: Global Economic Institutions.
5. Explain: Is Economic Globalization a Failure?.
6. Explain: Impact on the Marginalized Sectors.